One commenter suggested that, instead of requiring, for each quarterly statement, recordkeeping of each addressee, the date(s) sent, address(es) and delivery method(s), we should require only records necessary to demonstrate compliance with the quarterly statement distribution requirement.[458] We agree that the addresses and delivery methods used to disseminate quarterly statements are not necessary to demonstrate compliance with the quarterly statement distribution requirement and have removed those obligations accordingly. However, we believe that recordkeeping of each addressee and the dates sent are necessary to demonstrate compliance with the final rule. Records of the distribution dates will demonstrate compliance with the various distribution deadlines set forth in the final rule. Records of the addressees are similarly necessary to demonstrate that each quarterly statement has been sent to each investor. These recordkeeping requirements will permit Commission staff to effectively assess an adviser's compliance with the rule.

C. Mandatory Private Fund Adviser Audits

We are requiring private fund advisers to obtain an annual financial statement audit of the private funds they advise, directly or indirectly.[459] In addition to protecting the fund and its investors against the misappropriation of fund assets, we believe an audit by an independent public accountant provides an important check on the adviser's valuation of private fund assets, which often serves as the basis for the calculation of the adviser's fees. It also provides an important check on certain conflicts of interest between the adviser and the private fund investors, such as potentially problematic sales practices or compensation schemes. For

---

458 *See* CFA Comment Letter II.

459 Final rule 206(4)-10. The rule would apply to all investment advisers registered, or required to be registered, with the Commission.

example, during a financial statement audit, an auditor will inquire about related party relationships and transactions, including the identity of any related parties, the nature of the relationships, and the business purpose of entering into any transaction with a related party.[460] Moreover, as part of the auditor's substantive testing, an auditor may review the calculation and presentation of management fees paid to the adviser and may focus on capital allocations to review the adviser's entitlement to performance-based compensation. While the auditor does not have primary responsibility to prevent and detect fraud, it does have a responsibility to obtain reasonable assurance that the financial statements as a whole are free from material misstatement, whether caused by fraud or error.[461]

We are adopting the substance of the mandatory private fund adviser audit rule largely as proposed. The proposed rule was primarily drawn from the Advisers Act custody rule but differed from that rule in several respects.[462] Commenters explained that these differences could create confusion with, and be duplicative of, the custody rule.[463] For example, commenters stated that a staff guidance update on the application to SPVs would apply under the custody rule but not here.[464] Similarly, other commenters stated that staff guidance issued in frequently asked

---

460 *See* American Institute of Certified Public Accountants' ("AICPA") auditing standards, AU-C Section 550 and PCAOB auditing standards, AS 2410.

461 *See* AICPA auditing standards, AU-C Section 240. Audits performed under PCAOB standards provide similar benefits. *See* PCAOB auditing standards, AS 2401, which discusses consideration of fraud in a financial statement audit.

462 *See* Proposing Release, *supra* footnote 3, at 101-103.

463 *See* IAA Comment Letter II; NYC Bar Comment Letter II; AIC Comment Letter I.

464 *See* Comment Letter of Ernst & Young (Apr. 25, 2022) ("E&Y Comment Letter"); Comment Letter of Deloitte & Touche LLP (Apr. 21, 2022) ("Deloitte Comment Letter"); KPMG Comment Letter; PWC Comment Letter; AIC Comment Letter I; TIAA Comment Letter; NSCP Comment Letter. *See also* Private Funds and Application of the Custody Rule to Special Purpose Vehicles and Escrows, Division of Investment Management Guidance Update No. 2014-07 (June 2014).

questions would apply under the custody rule but not here.[465] One commenter asserted that the imposition of overlapping and inconsistent standards between the requirements of the custody rule and this rule would not serve to increase investor protection.[466] After considering comments, we are adopting a final rule that addresses those differences. More specifically, we are requiring advisers registered with, or required to be registered with, the Commission to cause their private funds to undergo audits in accordance with the audit provision (and related requirements for delivery of audited financial statements) under the custody rule.[467]

The mandatory private fund adviser audit rule requires a registered investment adviser providing investment advice, directly or indirectly, to a private fund, to cause that fund to undergo a financial statement audit that meets the requirements set forth in paragraphs (b)(4)(i) through (b)(4)(iii) of the custody rule applicable to pooled investment vehicles subject to annual audit and to cause audited financial statements to be delivered in accordance with paragraph (c) of that rule. As a result, each of the following is required under the final rule:

(1) The audit must be performed by an independent public accountant that meets the standards of independence in 17 CFR 210.2-01 (rule 2-01(b) and (c) of Regulation S-X) that is registered with, and subject to regular inspection as of the commencement of the professional

---

465 *See* SIFMA-AMG Comment Letter I. *See also* Staff Responses to Questions about the Custody Rule ("Custody Rule FAQs"), *available at* https://www.sec.gov/divisions/investment/custody_faq_030510.htm.

466 *See* NYC Bar Comment Letter II.

467 Rule 206(4)-2(b)(4) and (c). In a change from the proposal, defined terms in rule 206(4)-10 are as defined in the custody rule; they are not defined in rule 211(h)-1. *See* rule 206(4)-10(c). The SEC has proposed to amend and redesignate the custody rule. *See* Safeguarding Advisory Client Assets, Investment Advisers Act Release No. 6240 (Feb. 15, 2023) [88 FR 14672 (Mar. 9, 2023)] ("Safeguarding Release"). We are continuing to consider comments received in response to that proposal.

engagement period, and as of each calendar year-end, by the PCAOB in accordance with its rules;[468]

(2) The audit must meet the definition of audit in 17 CFR 210.1-02(d) (rule 1-02(d) of Regulation S-X);[469]

(3) Audited financial statements must be prepared in accordance with generally accepted accounting principles;[470] and

(4) Annually within 120 days of the private fund's fiscal year-end and promptly upon liquidation, the private fund's audited financial statements are delivered to investors in the private fund.[471]

Additionally, in recognition that a surprise examination under the custody rule does not satisfy the requirements of this rule, we are adopting the proposed exception to this rule for funds and advisers not in a control relationship. Specifically, for a fund that the adviser does not control and that is neither controlled by nor under common control with the adviser (*e.g.*, an adviser to a fund of funds may select an unaffiliated sub-adviser to implement a portion of the

---

468 *See* rule 206(4)-2(b)(4)(ii) and 206(4)-2(d)(3) (defining "independent public accountant").

469 *See* rule 206(4)-2(b)(4). The custody rule requires an accountant performing an audit of a pooled investment vehicle to be an "independent public accountant" complying with rule 2-01(b) and (c) of Regulation S-X. Rule 2-01(c) of Regulation S-X references the term "audit and professional engagement period," which is defined in rule 2-01(f)(5) of Regulation S-X.

470 The SEC has stated that certain financial statements must either be prepared in accordance with U.S. GAAP or prepared in accordance with some other comprehensive body of accounting standards if the information is substantially similar to financial statements prepared in accordance with U.S. GAAP and contain a footnote reconciling any material differences. *See* Custody of Funds or Securities of Clients by Investment Advisers, Investment Advisers Act Release No. 2176 (Sept. 25, 2003) [68 FR 56691 (Oct. 1, 2023)] ("2003 Custody Rule Release") at n.41. Our staff has taken a similar view. S*ee* Custody Rule FAQs, *supra* footnote 465, at Question VI.5.

471 *See* rule 206(4)-2(b)(4) and (c).

underlying investment strategy), the adviser only needs to take all reasonable steps to cause the fund to undergo an audit that meets these elements.[472]

Some commenters supported the proposed rule,[473] while others opposed it[474] and one commenter highlighted the importance of the proposed notification provision explaining that the issuance of a modified opinion or the auditor's termination may be "serious red flags that warrant early notice to regulators."[475] Commenters who opposed the proposed rule indicated that it: (i) would eliminate the surprise examination option under the custody rule without evidence that surprise examinations have not adequately protected private fund investors;[476] (ii) might increase costs to investors and be unnecessary;[477] (iii) would not serve the stated policy goals of acting as a check on the adviser's valuation of private fund assets;[478] (iv) may provide investors a false sense of security;[479] and (v) could increase the difficulty of finding an auditor in certain jurisdictions.[480]

---

472 *See* final rule 206(4)-10(b).

473 *See* Public Citizen Comment Letter; Healthy Markets Comment Letter I; Trine Comment Letter; AFREF Comment Letter I; OPERS Comment Letter; ICM Comment Letter; NASAA Comment Letter; Better Markets Comment Letter; Albourne Comment Letter; ILPA Comment Letter I; Segal Marco Comment Letter; RFG Comment Letter II; Convergence Comment Letter; NCREIF Comment Letter.

474 *See* PIFF Comment Letter; BVCA Comment Letter; Invest Europe Comment Letter; AIC Comment Letter I; Comment Letter of Steven Utke and Paul Mason (Feb. 26, 2022) ("Utke and Mason Comment Letter"); Dechert Comment Letter; AIMA/ACC Comment Letter; Comment Letter of Canaras Capital Management LLC (Apr. 25, 2022) ("Canaras Comment Letter"); SBAI Comment Letter; Ropes & Gray Comment Letter; IAA Comment Letter II; NYC Bar Comment Letter II.

475 *See* NASAA Comment Letter.

476 *See* AIMA/ACC Comment Letter.

477 *See* PIFF Comment Letter; BVCA Comment Letter; Invest Europe Comment Letter; Utke and Mason Comment Letter; Dechert Comment Letter; AIMA/ACC Comment Letter.

478 *See* AIC Comment Letter I; BVCA Comment Letter.

479 *See* Chamber of Commerce Comment Letter.

480 *See* SBAI Comment Letter; AIMA/ACC Comment Letter; Comment Letter of LaSalle Investment Management, Inc. (Apr. 25, 2022) ("LaSalle Comment Letter"); CFA Comment Letter I; PWC Comment Letter; Ropes & Gray Comment Letter.

While the mandatory private fund adviser audit rule would effectively eliminate the surprise examination option under the custody rule for private fund advisers and may increase costs to some investors, we believe that financial statement audits provide a critical set of additional protections for private fund investors. During a financial statement audit, independent public accountants not only typically verify the existence of pooled investment vehicle investments similar to a surprise examination, but they also test other assertions associated with the pooled investment vehicle investments and other significant accounts (*e.g.*, valuation, presentation and disclosure, rights and obligations, completeness, and accuracy). Importantly, audited financial statements, including the related notes, schedules, and audit opinion, must be distributed to each investor in the pooled investment vehicle, providing investors with additional information about the operation of the private fund.[481] For example, audited financial statements prepared in accordance with U.S. GAAP, which are the responsibility of the private fund adviser or its related person, include disclosures regarding the level of fair value hierarchy within which the fair value measurements are categorized in their entirety and a description of the valuation techniques and inputs used in the fair value measurement of the fund's investments.[482] These audited financial statements also include disclosures regarding material related party transactions.[483] In addition, fund borrowings, such as margin borrowings or fund-level subscription facilities, are disclosed in the financial statements.[484] These are just a few examples of the types of critical information provided to investors in audited financial statements to help them better understand the private fund's operations and financial position. If, in lieu of audited

---

481 Final rule 206(4)-10; *see also* rule 206(4)-2(b)(4) and rule 206(4)-2(c).

482 FASB ASC Topic 820, *Fair Value Measurement*.

483 FASB ASC Topic 850, *Related Party Disclosures*.

484 FASB ASC Topic 470, *Debt* and FASB ASC Subtopic 860-30, *Secured Borrowing and Collateral*.

financial statements, an investment adviser obtains a surprise examination of the funds and securities of its client (*e.g.*, a private fund), an investor may not receive this additional important information. Comments from institutional investors generally acknowledged the benefits of annual financial statement audits as providing an important tool for monitoring their investments.[485] These commenters explained that audits enhance investor protection[486] and the mandatory private fund adviser audit rule would introduce a degree of consistency across private funds.[487] One commenter stated that audits are critical to protecting the fund's assets from fraud and malfeasance,[488] while another commenter explained that annual audits provide investors more accurate valuations, which also often serve as the basis for calculation of fees.[489] Accordingly, we continue to believe the benefits of a financial statement audit to private fund investors justify the elimination of the surprise examination option for private fund advisers and the associated costs.

We disagree with commenters' assertions that the audit requirement will not serve the stated policy goals of acting as a check on the adviser's valuation of private fund assets.[490] Financial statement audits provide meaningful protections to private fund investors by increasing the likelihood that fraudulent activity or problems with valuation are uncovered, thereby providing deterrence against fraudulent conduct by fund advisers or their related persons.[491] For

---

485 *See* OPERS Comment Letter; AFSCME Comment Letter; ILPA Comment Letter I; NYC Comptroller Comment Letter; *see generally* Seattle Retirement System Comment Letter; DC Retirement Board Comment Letter.

486 NYC Comptroller Comment Letter.

487 *See* OPERS Comment Letter.

488 *See* ILPA Comment Letter I.

489 *See* AFSCME Comment Letter.

490 *See* AIC Comment Letter I; BVCA Comment Letter.

491 *See* AICPA auditing standards, AU-C Section 240 and PCAOB auditing standards, AS 2401.

example, as noted above, a fund's adviser may use a high level of discretion and subjectivity in valuing a private fund's illiquid investments, which are difficult to value. This creates a conflict of interest if the adviser also calculates its fees as a percentage of the value of the fund's investments and/or an increase in that value (net profit), as is typically the case. Moreover, private fund advisers often rely heavily on existing fund performance when engaging in sales practices: obtaining new investors (in the case of a private fund that makes continuous or periodic offerings), retaining existing investors (in the case of a private fund that offers periodic redemptions or transfer rights), soliciting investors for co-investment opportunities, or fundraising for a new fund. These factors raise the possibility that funds are valued opportunistically and that the adviser's compensation may involve fraud or deception, resulting in an inappropriate compensation scheme.[492] A fund audit includes the evaluation of whether the fair value estimates and related disclosures are in conformity with the requirements of the financial reporting framework (*e.g.*, U.S. GAAP), which may include evaluating the selection and application of methods, significant assumptions, and data used by the adviser in making the estimate.[493] The Commission continues to believe that private fund audits are an important tool to provide a check on private fund valuations.

---

492 *See generally* Jenkinson, Sousa, Stucke, *How Fair are the Valuations of Private Equity Funds?* (2013), *available at* https://www.psers.pa.gov/About/Investment/Documents/PPMAIRC%202018/27%20How%20Fair%20are%20the%20Valuations%20of%20Private%20Equity%20Funds.pdf. *See also In the Matter of Swapnil Rege*, Investment Advisers Act Release No. 5303 (July 18, 2019) (settled action) (alleging that an employee of a private fund adviser mispriced the private fund's investments, which resulted in the adviser charging the fund excess management fees); *SEC v. Southridge Capital Mgmt., LLC*, Lit. Rel. No. 21709 (Oct. 25, 2010) (alleging that adviser overvalued the largest position held by the funds by fraudulently misstating the acquisition price of the assets); *see* docket for *SEC v. Southridge Capital Mgmt., LLC*, U.S. District Court, District of Connecticut (New Haven), case no. 3:10-CV-01685 (on Sept. 12, 2016 the court granted the SEC's motion for summary judgment and entered a final judgment in favor of the SEC in 2018).

493 *See* AICPA auditing standards AU-C Section 540A and PCAOB auditing standards, AS 2501.

One commenter expressed concerns that private equity fund audits are unnecessary because "[p]rivate equity funds typically charge management fees based on capital commitments, or sometimes invested capital, neither of which is affected by subjective valuation methods."[494] We, however, have observed instances of advisers to private equity funds overcharging their management fee by failing to write down the value of fund investments.[495] In these cases, the subjective valuation method is particularly important because the adviser may have to decrease invested capital by any permanent impairments or write-downs of portfolio investments in accordance with the fund documents, which, in turn, decreases the management fee paid to the adviser. Also, during an annual period in which a private equity fund has sold a portfolio investment, the auditor typically reviews the fund's waterfall calculation including the calculations for return of invested capital, return of allocable expenses, the preferred return, the general partner catch-up, if applicable, and any incentive allocation, as part of the annual audit. Thus, the Commission continues to believe that the mandatory audit requirement should apply to private fund advisers, including advisers to private equity funds.

One commenter expressed concern that the mandatory audit requirement may give investors a false sense of security because the PCAOB does not have the authority to inspect audit engagements that involve private fund financial statements.[496] Under the PCAOB's current inspection program, we understand that the PCAOB selects audit engagements of audits performed involving U.S. public companies, other issuers, and broker-dealers, so private fund

---

494 *See* AIC Comment Letter I.

495 *See In the Matter of EDG Management Company, LLC, supra* footnote 30; *see also In the Matter of Energy Capital Partners, supra* footnote 30; *Innovation Capital Management, LLC*, Investment Advisers Act Release No. 6104 (Sept. 2, 2022) (settled order).

496 *See* Chamber of Commerce Comment Letter.

audit engagements would not be selected for review.[497] Even though private fund engagements are not selected for review under the PCAOB's current inspection program, we believe that many accounting firms registered with the PCAOB and subject to the PCAOB's inspection program would implement their quality control systems throughout the accounting firm related to all their assurance engagements. Thus, we continue to believe that registration and regular inspection of an independent public accountant's system of quality control by the PCAOB may provide higher quality audits, resulting in additional investor protection.

Commenters also expressed concerns that advisers may have increased difficulty finding an auditor in certain jurisdictions because requiring independent public accountants conducting the audit to be registered with, and subject to inspection by, the PCAOB would greatly limit the pool of accountants available to conduct audits.[498] As noted above, we do not apply substantive provisions of the Advisers Act and its rules, including the mandatory audit requirement, with respect to non-U.S. clients (including private funds) of an SEC registered offshore investment adviser.[499] We believe that this clarification will reduce many of the concerns expressed by commenters regarding the difficulty for non-U.S. private fund advisers finding an auditor in certain jurisdictions.

In addition, we do not believe that advisers will have significant difficulty in finding an accountant that is eligible under the rule in most jurisdictions because many PCAOB-registered independent public accountants who are subject to regular inspection currently have practices in various jurisdictions, which may ease concerns regarding offshore availability. An independent

---

497 Public Company Accounting Oversight Board, *Basics of Inspections*, *Inspections: An Overview* (last visited Aug. 13, 2023), *available at* https://pcaobus.org/oversight/inspections/basics-of-inspections.

498 *See* AIMA/ACC Comment Letter; AIC Comment Letter I.

499 *See, e.g.*, Exemptions Adopting Release, *supra* footnote 9.